

to listen to them. His wife then rang Bina and asked me to speak to him. I knew it was easier to convince a professional stock trader than an amateur who mistook luck for skill. Still, I managed to convince him to book profits. But instead of taking the money out right away, Pankaj let it lie with the broker. When the stocks went into a tailspin, Pankaj thought there was quick money to be made by buying them at lower levels and selling them at the first opportunity. A series of mistimed trades later, Pankaj not only lost every rupee of his profits, but had to pay his broker an additional Rs 15 lakh. His father paid up the money, and that was the last time Pankaj ever mentioned stocks at home.

Another relative of mine lost a fortune, simply because he wanted to save on capital gains tax by holding on to the shares for three months.

---

On Nasdaq, investors were punishing new-economy shares with a vengeance. The selling frenzy reached a crescendo on 14 April when the Composite Index was hammered 10 per cent in a single trading session. It was now down around 35 per cent from its peak barely a month ago.

On Dalal Street, many of the late entrants among retail investors had been wiped out by the fall. But those who had got in early still had some cushion left and chose to play on.

By the first week of April the Sensex had fallen to around 4,700. But within the next week, it rallied to over 5,500, convincing many that the bull market had resumed and that India would be able to stand apart from other global markets. Also, many of the high-flying stocks appeared cheap against their earlier peak values, something new entrants found tempting, as they felt a steep fall presented a good opportunity to buy stocks and make the kind of profits their friends, colleagues or relatives claimed they had.

For instance, Infosys was going for around Rs 15,000, against its high of roughly Rs 28,000; Wipro was available for under Rs 5,000, attractive considering its peak of Rs 10,000 in late February; Global Tele could be bought for around Rs 1,700, against its high of Rs 3,500. The list was pretty long.

Of course, the buyers failed to notice that the stocks were not exactly cheap, but only seemed so when compared with their peak prices. Retail investors also have this misconception that once a stock touches a new high,